Montana State Financial Profile

Montana features a simplified progressive income tax system and stands out as one of the few states with no general sales tax. Property taxes are determined using a statutory residential tax rate applied to market values determined by biennial appraisals.

Financial Questions & Answers

Q1: What is Montana's individual income tax structure?

A: Montana utilizes a simplified two-bracket progressive individual income tax system with a top marginal rate of 5.90% for income above thresholds indexed annually for inflation.

Q2: Does Montana levy a general state sales tax?

A: No. Montana is one of five states that does not impose a general state-level retail sales tax, though resort communities are permitted to levy localized luxury or resort taxes.

Q3: How are residential property taxes calculated in Montana?

A: Residential properties are assessed at 100% of market value biennially. A statutory residential tax rate (historically around 1.35%) is applied to find the taxable value, which is then multiplied by local mill levies.

Q4: Does Montana tax social security benefits?

A: Yes, Montana taxes Social Security benefits to the extent they are taxed at the federal level, though low-to-moderate-income taxpayers may qualify for state-level exemptions.

Q5: What is the state-level corporate income tax rate?

A: Montana imposes a flat corporate income tax rate of 6.75%. Corporations utilizing the water's edge election are subject to a slightly higher rate of 7.00%.

State Cost of Living (COL) Index Appendix

Metric Class	Index Value (Base 100.0)
Composite Cost of Living	99.8
Housing Cost Index	105.4
Income Tax Burden Structure	4.70% - 5.90% Progressive